Question 3 (e)

The second option question where candidates have to justify which one of the two options would be more suitable for IKEA. As in question 2f a number of candidates described both methods of motivating its employees and as mentioned, there are no knowledge marks available for this type of question. Most candidates understood the purpose of using the method of bonus or job enrichment and nearly two thirds of the cohort gained a Level 2 mark, showing sound knowledge of application and analysis. It may help some candidates to gain the higher level if they give an evaluative comment as to the chosen option and why it would be more suitable.

This is a Level 2 response – 5 marks.

To motivate employees working in its factories, *IKEA* is considering two motivational methods.

Option 1: bonus

Option 2: job enrichment.

(e) Justify which **one** of these two options *IKEA* should use.

(9)

Giving a bonus would mean that IkEA gives more money on top of their employees' salary. This would be a good motivator as one of the main motivators for people having jobs is money. More motivated employees mean better quality furniture and services, potentially meaning more sales, revenue and potentially profits.

Job enrichment is when IkEA gives it's employees more higher skilled work. This would be a good motivator as employees would feel more important and trusted meaning they are more inclined to stay and work for IkEA. This could mean better quality furniture, more sales and perhaps more profits.

IkEA should use option 2 as not only does it motivate the employees, it also makes them feel that IkEA trusts them and needs them,

causing them to not only feel motivated, but ~~also~~ also feel a sense of belonging.

ResultsPlus
Examiner Comments

The candidate has given reasons for both options and how it would benefit the employees. However the response is not developed and there is limited evaluative comments. Perhaps if they had developed the response more they could have moved to the next Level.

Question 4 (c)

This question is marked in exactly the same way as the 'justify' questions. Although it is worth pointing out to candidates that this question does carry the most marks and they should allow sufficient time to answer it. All four of the Assessment Objectives are covered, AO1 – knowledge, AO2 – application, AO3 – analysis and AO4 evaluation. A number of candidates only completed a few lines and this will therefore limit them on the marks they are able to gain. Perhaps candidates need to plan their time more efficiently to ensure they have time to complete this question.

Some candidates have used bullet points or numbered items, this will not allow them to gain the higher levels.

Candidates were asked to evaluate the importance to IKEA of using demographic segmention when targeting its customers. Some candidates were confused as to what was demographic segmention. It is worth reiterating that questions can come from any part of the specification. Well over a third of the cohort were able to gain a Level 2 mark.

This is a Level 3 response – 10 marks.

IKEA prides itself on knowing the tastes and demands of its customers. This means it can provide the best experience possible when customers are shopping. It offers inspirational home furnishing tutorials and workshops to help customers create the perfect home.

(c) Evaluate the importance to *IKEA* of using demographic segmentation when targeting its customers. You should use the information provided as well as your own knowledge of business.

(12)

Demographic segmentation is market segmentation according to a particular demographic such as age, gender or wealth status.

One importance to using demographic segmentation is that IKEA can cater towards a niche market of furniture buyers. They can create a line of products that satisfy the needs, tastes and demands of a certain age group or people of a particular lifestyle which it prides itself on. This could be targetting home renovators and running reasearch on that demographic to section a portion of the store to those doing renovations. They may develop new products for this niche market to sell to. This would lead to increased customer satisfaction thus increase of brand loyalty. ~~This migh~~

Another importance to using demographic segmentation is that IKEA can open up itself to a newer, different audience of furniture buyers. This would lead to brand exposure as it will attract a new customer

base that find a personalised use of IKEA products.

However, it is important IKEA does not segment too much of its target audience in order to maintain its economies of scale. Even though brand loyalty is importa nt, if IKEA loses its economies of scale as a multinational and a franchise, it might experience financial damages that prove to be long term.

In conclusion it is important IKEA uses demographic segmentation to increase customer and brand loyalty, howe ver, they should not over segmentise.

ResultsPlus
Examiner Comments

A well developed response to the question, showing sound knowledge, application of knowledge and analysis with limited judgements.